

Kesavan is clear that thanks to its versatility, the long tail of dairy products is seeing rapid penetration and sharp growth is inevitable. “We see it in the case of a range of dairy drinkables, ghee, paneer or sweets amid a clear shift towards a cleaner and packed option.”

Regional focus is a competitive moat in dairy, as Rashima Misra, co-founder of Bhubaneswar-based Milk Mantra recognised before starting-up in the east in 2010. “The market opportunity stood out—there was no large dairy player, consumers had limited options with almost no product, quality or functional differentiation with the available brands, and with an untapped farmer base, it made eminent sense to lay the foundation for something new,” she says.

To her, a presence in pouched milk is important since it has a lot of stickiness with the consumer. “Sri

(the other co-founder) and I chose to own and differentiate every aspect of the value chain, starting with the farmers to consumers. Our strategy is to have a tight product portfolio to ensure focus on maintaining our mass premium pricing position with strong margins.”

TURNING IT ON

Amul has 122 products ready for launch and 50 at various stages of ideation. Mehta sees millet as a big opportunity. “We can do an organic version like a wafer chocolate made of millet and jaggery or an ice cream cone made of millet. It can easily be moved across the country,” he says. Taking a product category mass is not an unknown territory for Amul.

Anand Kumar Jaiswal, Professor of Marketing at IIM Ahmedabad, picks out how Amul democratised ice cream consumption and became the largest player. The current strategy, says Jaiswal, is to make Amul a food brand and not just a dairy brand. “They want to reduce their overdependence on dairy and look for ways to diversify their portfolio. Besides, it presents opportunities to use excess capacity across the value chain,” he explains. For instance, deep freezers where retailers store ice creams now have French fries and frozen parathas. “Amul can benefit from using the same vehicles and align its cost structure effectively. It also helps them beat seasonal fluctuation of a category like ice cream.”

Amul has gone about foods in a calculated manner, with product launches spread over at least a decade before getting into top gear now. The success of chocolates is another interesting example. Chocolates were seen as expensive, but Amul launched a 150-gm bar when the standard size was 40 gm or, at best, 80 gm. Then, Amul went for dark chocolates, which are viewed as a healthy option. Today, Amul has become a dominant player in chocolates with almost no advertising.

Jaiswal believes the approach in organic foods will be similar to that in ice creams. He says the supply of organic foods in India is still limited with incumbents needing to invest a lot in developing the market. “For Amul, the connect with farmers plus the ability to produce at scale could lead to lower prices. Besides, there is no big player in organic today, presenting an opportunity to democratise it.” Per a report by research firm IMARC Group, the organic foods market in India was pegged at \$1.3 billion last year with the potential to reach \$4.6 billion in 2028.

Shivakumar believes the expansion into foods will be difficult. “Milk is perishable and that led to the full ecosystem wanting Amul to succeed,” he says.

By contrast, pulses and grains are not perishable in the same way with established distribution channels



NITIN KARKARE
VICE CHAIRMAN,
FCB ULKA

“As they [Amul] transition from dairy, the playing field will not be restricted to just India, and the power of the Amul brand can be leveraged exponentially”



K.S. NARAYANAN
CONSULTANT, FOOD
AND BEVERAGE

“Amul’s protein move is an excellent initiative... and additional protein in mass-consuming products like dahi or buttermilk is a good way for consumers to make it a part of their diet”